

Chester High Conviction Fund

Fund Update April 2025



"A nation that destroys its own people is a nation without hope"

Pope John Paul II

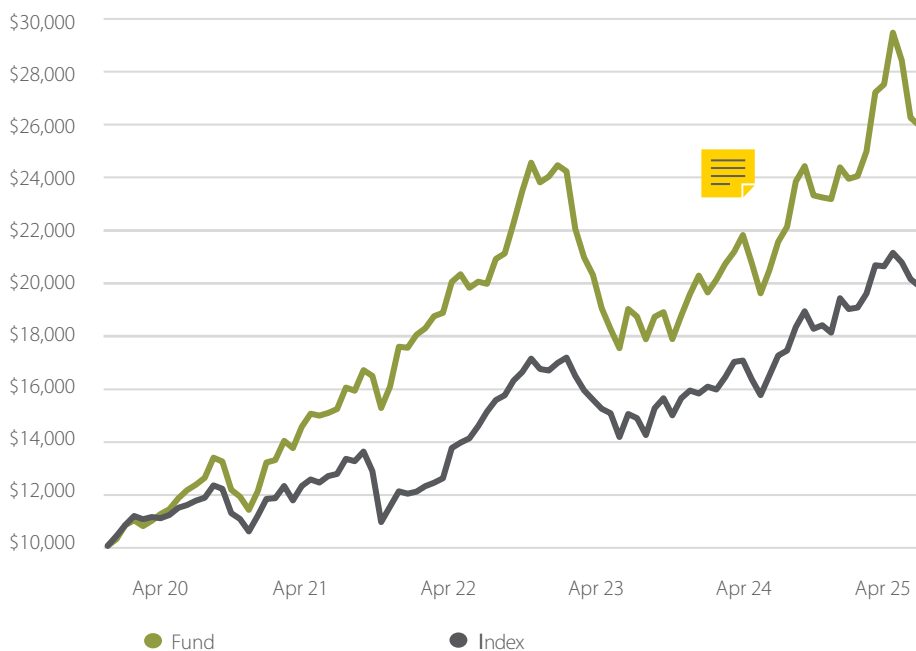
Performance (%) at month end	1 mth	3 mth	6 mth	1 yr	SI (p.a.)*
Fund	0.56	5.32	4.70	17.10	16.86
Index	1.24	7.67	7.85	23.81	19.25
Outperformance	-0.68	-2.35	-3.15	-6.71	-2.39

Past performance is not a reliable indicator of future performance. The total return performance figures quoted are historical, calculated using end-of month prices and do not allow for the effects of income tax or inflation. Total returns assume the reinvestment of all distributions. The performance is quoted net of all fees and expenses. The indices do not incur these costs.

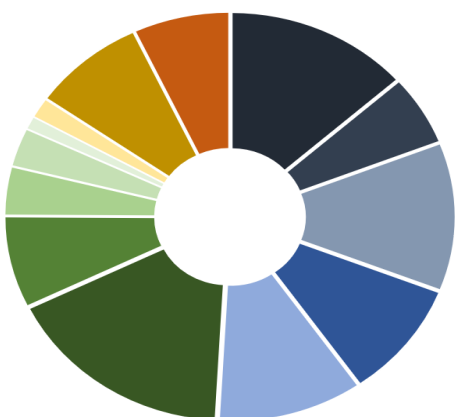
* SI (p.a.) annualised total return since inception (SI) hedged for performance calculation purposes to 31 January 2025.

+ Hedged to AUD

Performance comparison of \$10,000 since inception¹



Fund weights - diverse sector exposure



Portfolio breakdown

Health Care	16.9%
Materials ex Gold	13.4%
Industrials	11.9%

Top 3 holdings

CSL
Develop Global
Abacus Storage King

Top 3 portfolio attribution

Austal
Develop Global
Abacus Storage King

Bottom 3 portfolio attribution

Light & Wonder
Worley
Mineral Resources

Month in review

April was a tale of two halves with a dramatic drawdown on the escalation of tariff wars between China and the US post “Liberation Day”, while the rebound over the past 2 weeks has seen a sharp recovery as markets have started anticipating a deescalation of the trade war. Both sides appear to be ready to make concessions as the economic damage unfolding appears as unnecessary as it is deeply concerning. To us, the turning point appeared to be the US 10yr bond yield breaching 4.5%. For all the posturing around tariffs, we still see the US deficit spending as the Achilles heel for markets. The US deficit needs lower interest rates to reduce the ever increasing interest expense. It appears less likely to us that DOGE has made significant inroads into reducing government waste, which leaves interest expense reduction or increased revenue from tariffs as the most likely pathways to reduce the deficit ahead of Trump adding to the burden by reducing taxes permanently. Given that global growth looks extremely uncertain as we sit here in May, the obvious response is to see ongoing interest rate cuts, which only Fed Chair Jay Powell seems opposed to.

The other observation from this current uncertainty is the foreign capital leaving the US capital markets, whether that be the equity or bond market. For 15 years post the GFC, the US markets saw unrelenting flows into the equity market on the basis of US economic strength and earnings momentum driven by the Mag7. As this reverses, and European, Japanese or Chinese capital focuses on economic nationalism, the momentum behind the US markets (and USD) may well be on an irreversible course backwards. The unintended consequences of an event are very difficult to predict, unless the US administration’s primary goal was to weaken the USD in the first place. Maybe it’s 4 dimensional chess. Maybe it isn’t.

Australia is well placed to benefit on a relative basis given our trade deficit with the US, leaving us as a relative safe haven in a time of extreme uncertainty. This safe haven status has been reflected in the ongoing flows into the top 20 ASX listed stocks outside the resource sector, with CBA, WES, TCL and TLS the preferred safe havens. CBA rose 20% off its early April lows to close at a record high. Again. The ASX is currently 4% higher than it was on April 2nd. Go figure. We view the recent election outcome as both surprising and a relief, given the other likely outcome was a hung parliament. A strong majority at the very least should enable some legislation to pass, and hopefully, the desperately needed productivity gains that Australia needs.

Portfolio review

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